Case Study: The "Receive Money" QR Scam

Incident Date: January 2026

Target: Small Business Owners and Online Marketplace Sellers

What the Crime Is

UPI/Online Payment Fraud involves tricking a victim into authorizing a transaction that debits money from their account under the guise of receiving a payment. The most common variation is the QR Code Scam, where fraudsters exploit the common misunderstanding that scanning a QR code is required to receive money.

How It Happens (Step-by-Step)

1. **The Bait:** A fraudster contacts a seller on a platform like OLX or Facebook Marketplace, expressing urgent interest in an item. To build trust, they skip negotiations and agree to the full price immediately.
2. **The Technical Hook:** The fraudster claims they are paying from a "business account" that requires the seller to "verify" the transaction. They send a QR code via WhatsApp.
3. **The Deception:** The fraudster instructs the seller: Scan this code to receive the advance payment.
4. **The Payload:** When the victim scans the code, their UPI app opens a "Pay" screen (not a "Receive" screen). Distracted by the fraudster’s constant talking on the phone, the victim enters their UPI PIN.

5. **The Extraction:** Entering the PIN authorizes a debit. The money is instantly transferred to a "mule account" (a temporary account used to wash stolen funds).

Targets and Consequences

- **Who is Targeted:** Usually individuals selling second-hand goods, small-scale vendors, or senior citizens who are less familiar with the technical nuances of UPI.
- **Consequences:** * **Financial:** Victims often lose amounts ranging from ₹10,000 to ₹1,00,000 in seconds.
    - **Legal/Psychological:** Victims face extreme stress and a "trust deficit" toward digital banking. While the RBI mandates a "Zero Liability" policy for unauthorized transactions reported within three days, recovery is difficult if the user "voluntarily" entered their PIN, as it is legally viewed as a negligence-based authorized payment.